

Activity 02 · Cash flow reconstruction and liquidity

Finance for Non-Finance Managers | C525 | Day 1 · 55 minutes

Scenario

Harbour Services Pte Ltd reports profit while cash is tightening. Reconstruct cash movement using the indirect method. Values are illustrative SGD thousands.

Files supplied

Open **mock-data.xlsx**. Source tabs contain fictional data; use the **Your Analysis** tab or add calculation tabs. Work in pairs, then explain your decision to the class.

Instructions

1. Create operating, investing and financing cash-flow sections from the inputs; show cash outflows as negative values.
2. Calculate net cash from operations, net change in cash and closing cash. Reconcile closing cash to opening cash plus the three activity subtotals.
3. Calculate operating cash-flow ratio using current liabilities. Explain why accounting profit differs from operating cash flow.
4. Recommend two actions to protect liquidity without confusing borrowing with operating cash generation.

Submission and checks

Submit the cash-flow workbook and a brief liquidity recommendation. The three subtotals must reconcile to closing cash.

All company names, figures and benchmarks in this activity are synthetic teaching data. This is classroom practice, not a graded assessment or investment advice.